

Expecting Less Disruption This Time

ZS announced CRO Mike Rich is stepping down for personal reasons & will be replaced by WW Head of Sales, Ross Tackett, effective 10/1 (Mr. Rich on as advisor through 12/31). While Mr. Tackett was in the sales role when FY27 guidance was provided, this departure is a recent development & raises execution risk. That said, Mr. Rich remains onboard to help, Mr. Tackett has been with ZS for 2.5 years & ZS is not changing its GTM approach, softening transition pains.

Heightened Execution Risk But We Don't Expect Major Changes. The CRO transition is a recent development that was not accounted for in ZS's FY27 ARR guide provided during F4Q earnings earlier in Sep which raises the probability of disruption. While risk increases given the transition, guidance embeds organic yoy NNARR deceleration, despite sales productivity improving double digits in F4Q, Mythos tailwinds, and a broadening product portfolio (making it still feel attainable). The change may also have a lingering impact, given Mr. Rich took one year to get execution together and move from opportunistic selling to account-centric. That said, we expect this transition will be faster as Mr. Tackett helped shape current sales strategy, and we don't believe ZS is looking to significantly change the sales process. Furthermore, Mr. Tackett is experienced, with over a decade in sales leadership roles at NOW and 16 years at Dell, and has familiarity with ZS, having joined in Feb 2024 as the SVP, Americas Sales before becoming Worldwide Head of Sales in May 2026. While this eases the transition, there are always changes, and attrition is likely which may further tether nearterm performance upside.

ZS Set Up Well for 2H of FY27. There is never an ideal time to change sales leaders, but Mike Rich staying on through the end of the calendar year helps smooth the transition. We continue to believe ZS is set up well in 2H of FY27, when the new CRO will be settled into the role, as well as the replacements for the two sales leadership vacancies that have been / will be shortly filled. We also expect 2H to benefit from the recently GAed Agentic SecOps solution (launched Sep 9) and ZT for Agents (in early access).

FLASH NOTE

RATING	BUY
PRICE	\$214.64 ^A
PRICE TARGET % TO PT	\$220.00 +2%
52W HIGH-LOW	\$336.99 - \$114.63
FLOAT (%) ADV MM (USD)	63.0% 684.41
MARKET CAP	\$35.7B
TICKER	ZS

^APrior trading day's closing price unless otherwise noted.

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Company Description

Zscaler

Zscaler was founded in 2007 by its current CEO Jay Chaudhry. Zscaler's main product ZIA offers both outbound and inbound web and network protection via the company's edge servers, which serve as proxies that direct and filter traffic between internal users and external untrusted sources. Its ZPA product creates a private portal that enables trusted users to access a company's internal network resources and data, replacing traditional VPN functionalities. Other key Zscaler products include ZS for Workloads, its cloud workload and data security solution, and ZDX a multi-tenant cloud-based monitoring platform for an organization's users. Zscaler's Zero Trust Exchange is distributed across more than 150 data centers worldwide.

Company Valuation/Risks

Zscaler

Our \$220 price target is based on a DCF and implies 9x EV/FY27E revenue. Downside risks include markets taking longer to 'digest' past security purchases than anticipated.

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Investment Recommendation Record

(Article 3(1)e and Article 7 of MAR)

Recommendation Published	September 24, 2026 20:07 P.M.
Recommendation Distributed	September 24, 2026 20:07 P.M.

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The expected total return (price appreciation plus yield) for Buy rated securities with an average security price consistently below \$10 is 20% or more within a 12-month period as these companies are typically more volatile than the overall stock market. For Hold rated securities with an average security price consistently below \$10, the expected total return (price appreciation plus yield) is plus or minus 20% within a 12-month period. For Underperform rated securities with an average security price consistently below \$10, the expected total return (price appreciation plus yield) is minus 20% or less within a 12-month period.

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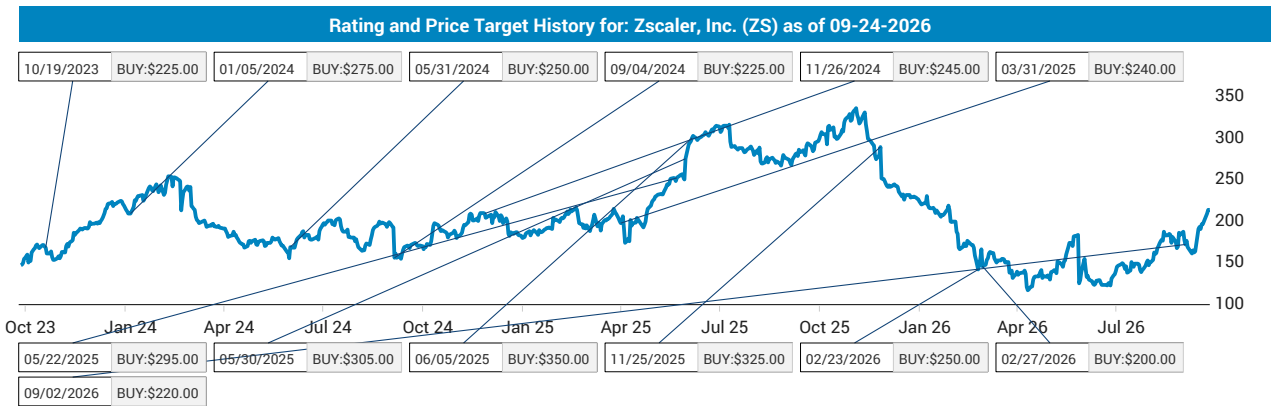
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Legend:

I: Initiating Coverage

D: Dropped Coverage

B: Buy

H: Hold

UP: Underperform

Distribution of Ratings			IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
	Count	Percent	Count	Percent	Count	Percent
BUY	2273	62.81%	365	16.06%	112	4.93%
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UNDERPERFORM	150	4.14%	0	0.00%	0	0.00%

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